margin on some exchanges, where investors are effectively gambling with money they don't have.

Back to tulips. At that time, the guilder served as currency in the Dutch Republic. Paper money didn't exist; instead, metal that held real value was used. Each guilder contained 0.027 ounces of gold. Therefore, 37 guilders held an ounce of gold, and 592 guilders contained a pound of gold. The highest recorded amount paid for a tulip was 5,200 guilders, or the equivalent of nearly nine pounds of gold.[17] At that time, an average year's work yielded 200 to 400 guilders, and modest town houses could be bought for 300 guilders. The tulip that fetched nine pounds of gold was worth the equivalent of 18 modest town houses: speculators were paying for single tulips with what would take them over a decade to pay off, and with money they didn't have.

It all came crashing down in February 1637. Spring was approaching, and tulips would be blossoming soon. Contractual dates would soon require the conversion of the notes of credit into real money. The merchants that drove the economic machine were largely unaffected, because they had "continued investing their trading profits in town houses, East India stock, or bills of exchange."[18] While it was the wealth of these merchants that caused the masses to yearn for similar riches, the merchants were unscathed by the crash they precipitated. The crash did not set off a recession throughout the economy, which was one saving grace of Tulipmania.

It was the common people, less experienced in investing, that had been swept up in the madness of the crowd who were